

TABLE 11.1 Estimates by Real Estate Agents in Northcraft and Neale’s 1987 Study

Real Estate Agent Group 1	Real Estate Agent Group 2
Given asking price = \$119,900	Given asking price = \$149,900
Predicted appraisal value = \$144,202	Predicted appraisal value = \$128,752
Listing price = \$117,745	Listing price = \$130,981
Purchase price = \$111,454	Purchase price = \$127,316
Lowest acceptable offer = \$111,136	Lowest acceptable offer = \$111,136

Reprinted from Gregory Northcraft and Margaret Neale, “Experts, Amateurs, and Real Estate: An Anchoring-and-Adjustment Perspective on Property Pricing Decisions,” *Organizational Behavior and Human Decision Processes* 39(1) (1987): 84–97. Copyright © 1987, with permission from Elsevier.

property, anchoring and adjustment theory held: other things held constant, the higher proposed list price was determined to have led to higher appraisal estimates. The appraisals, then, did not necessarily reflect the objective characteristics of the property. Rather, they were influenced by the initial values on which the agents “anchored” their estimates.

This study clearly demonstrated that anchoring is a very common bias, applying to many areas of finance and business decision making. Wealth management practitioners need to be keenly aware of this behavior and its effects.

Any time someone fixates on a fact or figures that should not rationally factor in at the anticipated decision juncture, that decision becomes potentially subject to the adverse effects of anchoring. The observations recorded in Table 11.1 regarding the real estate study are anchored by reference points that have no bearing on the future prospects of the property in question. Real-life investors likewise need to guard against the natural human tendency toward anchoring, lest their calculations become similarly swayed.

DIAGNOSTIC TESTING

In this section, we outline a hypothetical decision-making problem and discuss how and why various reactions to this problem may or may not indicate susceptibility to anchoring and adjustment bias.

Anchoring and Adjustment Bias Test

Scenario: Suppose you have decided to sell your house and downsize by acquiring a townhouse that you have been eyeing for several years. You do